GOTHENBURG MEMORIAL HOSPITAL DISTRICT

Statements of Financial Position

June 30, 2025 and 2024

Assets	2025	2024
Current assets:		
Cash and cash equivalents	$ 9,022,885	9,241,766
Patient accounts receivable, net of contractual adjustments and estimated uncollectibles of $2,574,000 in 2025 and $2,192,000 in 2024	3,978,751	3,820,708
Inventories	920,328	821,844
Prepaid expenses	706,733	512,816
Property taxes receivable	66,034	61,652
Other accounts receivable	196,522	145,722
Estimated third-party payor settlements	4,729,511	275,000
Total current assets	19,620,764	14,879,508
Assets whose use is limited	1,157,355	1,008,408
Other accounts receivable and advances	35,000	55,000
Capital assets	63,832,705	64,283,363
Less accumulated depreciation	32,839,769	30,468,789
Net capital assets	30,992,936	33,814,574
	$ 51,806,055	49,757,490

See accompanying notes to financial statements.

Liabilities and Net Position	2025	2024
Current liabilities:		
Current installments of long-term debt	$ 1,368,049	1,335,646
Current installments of lease obligations	32,790	230,396
Current installments of subscription liability	-	181,041
Accounts payable	2,011,285	972,904
Accrued expenses:		
Salaries, wages and benefits	1,395,451	421,407
Compensated absences and related benefits	1,052,715	964,703
Interest	57,650	58,250
Estimated third-party payor settlements	57,302	610,794
Total current liabilities	5,975,242	4,775,141
Long-term liabilities:		
Accrued compensated absences and and related benefits, excluding current portion	802,980	701,194
Long-term debt, excluding current installments	31,347,842	32,710,960
Lease obligations, excluding current installments	36,696	69,486
Total long-term liabilities	32,187,518	33,481,640
Total liabilities	38,162,760	38,256,781
Net position:		
Net deficit in capital assets	(1,792,441)	(712,955)
Restricted expendable for debt service	1,149,048	1,004,412
Restricted expendable for operating expenses	13,832	-
Unrestricted	14,272,856	11,209,252
Total net position	13,643,295	11,500,709
	$ 51,806,055	49,757,490

GOTHENBURG MEMORIAL HOSPITAL DISTRICT

Statements of Revenues, Expenses and Changes in Net Position

Years Ended June 30, 2025 and 2024

	2025	2024
Operating revenues:		
Net patient service revenue	$ 39,935,718	31,688,814
Provision for bad debts	(702,841)	(720,732)
Net patient service revenue, less provision for bad debts	39,232,877	30,968,082
340B Pharmacy net revenue	937,378	957,778
Other revenue	457,685	394,075
Total operating revenues	40,627,940	32,319,935
Operating expenses:		
Salaries and wages	16,061,729	15,093,520
Employee benefits	4,436,329	3,807,841
Supplies and other	13,838,592	11,117,561
Depreciation and amortization	3,386,716	3,182,297
Total operating expenses	37,723,366	33,201,219
Operating income (loss)	2,904,574	(881,284)
Nonoperating revenues (expenses):		
Property tax revenue	159,785	155,863
Noncapital grants and contributions	91,259	21,861
Interest income	286,511	324,549
Interest	(1,311,176)	(1,348,558)
Gain on disposition of capital assets	11,633	48,252
Total nonoperating expenses	(761,988)	(798,033)
Excess of revenues over expenses (expenses over revenues)	2,142,586	(1,679,317)
Capital grants and contributions	-	51,500
Increase (decrease) in net position	2,142,586	(1,627,817)
Net position, beginning of year	-	13,848,912
Prior period adjustment, application of GASB 101, compensated absences accrual adjustment	-	(720,386)
Net position, beginning of year as restated	11,500,709	13,128,526
Net position, end of year	$ 13,643,295	11,500,709

See accompanying notes to financial statements.

GOTHENBURG MEMORIAL HOSPITAL DISTRICT

Statements of Cash Flows

Years Ended June 30, 2025 and 2024

Change in Cash and Cash Equivalents	2025	2024
Cash flows from operating activities:		
Cash received from patients, third-party payors, and other revenue	$ 35,431,094	32,591,414
Cash paid to employees	(14,897,887)	(14,861,455)
Cash paid to suppliers and contractors	(16,961,302)	(14,791,287)
Net cash provided by operating activities	3,571,905	2,938,672
Cash flows from noncapital financing activities:		
Tax funds received	155,403	152,164
Noncapital grants and contributions	91,259	21,861
Net cash provided by noncapital financing activities	246,662	174,025
Cash flows from capital and related financing activities:		
Capital grants and contributions	-	51,500
Capital expenditures	(1,134,437)	(4,201,911)
Proceeds from long-term debt	-	1,801,676
Principal payments on long-term debt	(1,330,715)	(1,135,637)
Principal payments on capital leases	(230,396)	(299,967)
Principal payments on subscription liabilities	(181,041)	(207,543)
Proceeds from the sale of capital assets	13,353	60,000
Interest paid	(1,311,776)	(1,342,158)
Net cash used by capital and related financing activities	(4,175,012)	(5,274,040)
Cash flows from investing activities, interest received	286,511	324,549
Net change in cash and cash equivalents	(69,934)	(1,836,794)
Cash and cash equivalents, beginning of year	10,250,174	12,086,968
Cash and cash equivalents, end of year	$ 10,180,240	10,250,174
Reconciliation of cash and cash equivalents to the statements of financial position:		
Cash and cash equivalents	$ 9,022,885	9,241,766
Assets whose use is limited	1,157,355	1,008,408
Cash and cash equivalents	$ 10,180,240	10,250,174

(Continued)

GOTHENBURG MEMORIAL HOSPITAL DISTRICT

Statements of Cash Flows
(Continued)
Years Ended June 30, 2025 and 2024

Reconciliation of Operating Income or Loss to Net Cash Provided by Operating Activities	2025	2024
Operating income (loss)	$ 2,904,574	(881,284)
Adjustments to reconcile operating income (loss) to net cash provided by operating activities:		
Depreciation and amortization	3,386,716	3,182,297
Provision for bad debts	702,841	720,732
Construction in progress expensed	312,587	-
Decrease (increase) in:		
Patient accounts receivable	(860,884)	(1,488,229)
Other accounts receivable	(30,800)	(59,992)
Inventories	(98,484)	(117,062)
Prepaid expenses	(193,917)	(31,267)
Estimated third-party payor settlements	(4,454,511)	569,332
Increase (decrease) in:		
Accounts payable	1,293,433	282,444
Accrued salaries, wages and benefits	974,044	64,530
Accrued compensated absences	189,798	167,535
Estimated third-party payor settlements	(553,492)	529,636
Net cash provided by operating activities	$ 3,571,905	2,938,672

Supplemental Disclosure of Cash Flows Information

	2025	2024
Purchase of capital assets included in accounts payable at end of year	$ -	255,052

See accompanying notes to the financial statements.

GOTHENBURG MEMORIAL HOSPITAL DISTRICT

Net Patient Service Revenue

Years Ended June 30, 2025 and 2024

	2025			2024		
	Inpatient	Outpatient	Total	Inpatient	Outpatient	Total
Daily services revenue:						
Acute	$ 744,699	-	744,699	615,043	-	615,043
Swing-bed	989,772	-	989,772	948,893	-	948,893
Short stay observation	-	928,334	928,334	-	614,292	614,292
Nursery	107,108	-	107,108	94,600	-	94,600
	1,841,579	928,334	2,769,913	1,658,536	614,292	2,272,828
Ancillary services revenue:						
Operating and recovery rooms	80,455	2,583,314	2,663,769	75,563	2,042,257	2,117,820
Labor and delivery rooms	537,500	16,620	554,120	289,360	13,635	302,995
Anesthesiology	151,073	785,929	937,002	139,357	789,709	929,066
Radiology	390,306	10,476,002	10,866,308	507,719	10,347,200	10,854,919
Laboratory and blood	440,061	5,497,238	5,937,299	520,138	5,089,658	5,609,796
Intravenous therapy	12,808	533,837	546,645	8,274	450,041	458,315
Respiratory therapy	126,759	263,254	390,013	145,488	241,299	386,787
Physical therapy	246,913	2,026,530	2,273,443	263,973	2,383,941	2,647,914
Occupational therapy	118,345	172,265	290,610	168,355	220,955	389,310
Speech therapy	10,790	109,280	120,070	4,495	81,400	85,895
Electrocardiology	14,696	650,834	665,530	23,619	653,996	677,615
Central supply and oxygen	172,146	1,596,079	1,768,225	201,074	1,254,127	1,455,201
Pharmacy	519,610	7,216,748	7,736,358	663,720	4,687,699	5,351,419
Cardiac rehabilitation	-	290,762	290,762	-	267,380	267,380
Specialty clinic services	-	1,194,502	1,194,502	370	770,078	770,448
Senior Life Solutions	-	2,607,865	2,607,865	-	1,917,265	1,917,265
Emergency room	17,428	2,433,886	2,451,314	26,881	2,163,966	2,190,847
Sleep studies	-	196,220	196,220	-	212,934	212,934
Behavioral health	-	211,880	211,880	-	174,015	174,015
Dietary	-	5,985	5,985	-	4,340	4,340
Physician services	-	4,344,559	4,344,559	-	4,261,789	4,261,789
	2,838,890	43,213,589	46,052,479	3,038,386	38,027,684	41,066,070
Gross patient service revenue	$ 4,680,469	44,141,923	48,822,392	4,696,922	38,641,976	43,338,898
Charges foregone for services provided under charity care policy			129,222			75,510
			48,693,170			43,263,388
Contractual adjustments:						
Medicare and Medicaid			5,476,952			8,360,008
Commercial insurance and other			3,280,500			3,214,566
Total contractual adjustments			8,757,452			11,574,574
Net patient service revenue			$ 39,935,718			31,688,814

GOTHENBURG MEMORIAL HOSPITAL DISTRICT

Expenses

Years Ended June 30, 2025 and 2024

	2025			2024		
	Salaries and Wages	Supplies and Other	Combined	Salaries and Wages	Supplies and Other	Combined
Professional care of patients:						
Nursing service - Hospital	$ 2,148,928	989,150	3,138,078	1,922,735	742,863	2,665,598
Nursery	5,945	18,166	24,111	-	2,320	2,320
Operating and recovery rooms	802,975	849,362	1,652,337	823,206	759,757	1,582,963
Labor and delivery rooms	29,833	104,507	134,340	49,724	73,365	123,089
Anesthesiology	337,445	518,385	855,830	218,869	611,600	830,469
Radiology	582,238	839,619	1,421,857	588,645	859,626	1,448,271
Laboratory and blood	614,979	704,008	1,318,987	587,385	721,265	1,308,650
Intravenous therapy	-	12,247	12,247	-	12,061	12,061
Respiratory therapy	96,847	62,876	159,723	87,425	52,368	139,793
Physical therapy	538,206	258,834	797,040	622,861	258,897	881,758
Occupational therapy	83,992	55,302	139,294	99,744	44,160	143,904
Speech therapy	-	15,576	15,576	-	12,953	12,953
Electrocardiology	-	51,350	51,350	-	8,118	8,118
Central supply and oxygen	62,988	554,884	617,872	62,673	342,021	404,694
Pharmacy	233,836	2,031,139	2,264,975	225,561	1,420,011	1,645,572
Cardiac rehabilitation	158,205	60,896	219,101	131,010	61,697	192,707
Specialty clinic services	769,816	872,988	1,642,804	742,923	609,531	1,352,454
Senior Life Solutions	47,575	572,382	619,957	43,518	527,651	571,169
Behavioral Health	122,129	119,239	241,368	130,158	107,613	237,771
Emergency room	167,907	256,780	424,687	287,417	293,885	581,302
Sleep studies	-	33,028	33,028	-	36,565	36,565
Physician services	3,768,979	1,329,386	5,098,365	3,541,553	1,304,754	4,846,307
Wellness and community health	44,277	8,369	52,646	44,909	6,550	51,459
	10,617,100	10,318,473	20,935,573	10,210,316	8,869,631	19,079,947
Dietary services	374,376	574,726	949,102	360,253	477,892	838,145
General services:						
Environmental services	433,436	159,539	592,975	382,759	136,937	519,696
Maintenance and operation of plant	233,615	854,374	1,087,989	216,628	922,575	1,139,203
	667,051	1,013,913	1,680,964	599,387	1,059,512	1,658,899
Balances carried forward	$ 11,658,527	11,907,112	23,565,639	11,169,956	10,407,035	21,576,991

(Continued)

GOTHENBURG MEMORIAL HOSPITAL DISTRICT

Expenses

Years Ended June 30, 2025 and 2024

	2025			2024		
	Salaries and Wages	Supplies and Other	Combined	Salaries and Wages	Supplies and Other	Combined
Balances brought forward	$ 11,658,527	11,907,112	23,565,639	11,169,956	10,407,035	21,576,991
Administrative services:						
Administration	3,948,114	5,017,131	8,965,245	3,533,478	3,311,558	6,845,036
Insurance	-	379,355	379,355	-	318,012	318,012
Medical records	455,088	971,323	1,426,411	390,086	888,797	1,278,883
	4,403,202	6,367,809	10,771,011	3,923,564	4,518,367	8,441,931
	$ 16,061,729	18,274,921	34,336,650	15,093,520	14,925,402	30,018,922

GOTHENBURG MEMORIAL HOSPITAL DISTRICT

Selected Operating Statistics - "Unaudited"

Years Ended June 30, 2025 and 2024

	2025	2024	Increase (Decrease)	Percentage Increase (Decrease)
Patient Days				
Hospital:				
Acute	511	563	(52)	(9.2) %
Skilled "swing-bed"	751	829	(78)	(9.4)
	1,262	1,392	(130)	(9.3) %
Newborn	119	107	12	11.2 %
Percentage Occupancy				
Hospital (based on 12 licensed beds)	28.7 %	31.7	(3.0)	(9.5) %
Admissions and Discharges				
Hospital (acute only):				
Admissions	196	223	(27)	(12.1) %
Discharges	196	223	(27)	(12.1) %
Average Length of Stay, Hospital Acute Days	2.6	2.5	.1	4.0 %
Selected Ancillary Services or Units of Service				
Radiology	6,811	6,937	(126)	(1.8) %
Laboratory	45,358	47,549	(2,191)	(4.6) %
Emergency	1,706	1,671	35	2.1 %
Physical therapy	7,769	8,646	(877)	(10.1) %
Occupational therapy	1,267	1,728	(461)	(26.7) %
Outpatient Routine Hours	9,713	8,384	1,329	15.9 %
Full-time Equivalent Employees	176.4	170.7	5.7	3.3 %